

Role of government & taxation

The functions of government at local and national levels

The government carries out a range of functions. It is an owner of industries and assets such as schools and hospitals, a producer, a regulator, a collector of taxes and a director of the level of economic activity.

The government as a producer

A government may produce products which it believes are of key importance, the products that are produced by a natural monopoly, those which it thinks are essential and hence should be available to all and those which the private sector may under-produce or not produce.

Most countries seek to ensure that their key industries survive and do well. Key industries may be strategic industries or national champions. In China and France, for instance, such industries are often run by state-owned enterprises. In Italy, they receive favored loans from banks. In a number of countries, the government also stops foreign companies from taking them over or merging with them, such as rail infrastructure which may be run or regulated by the government. This is, in part, to prevent consumers being exploited by a private sector firm charging a high price. In addition, to produce at a low average cost a high output may be required and at such an output, a loss may be incurred.

A government may also produce essential products, such as housing, on grounds of equity and merit and public goods.

Public sector contracts and partnerships between the public and private sectors

Private sector firms provide a range of products and services for the public sector. For example, private sector road building firms construct and maintain roads for the government in many countries, and private pharmaceutical firms supply state healthcare systems with medicines.

In recent years, in more and more countries, the government is forming partnerships with private sector firms. A common form of partnership is where the private sector initially provides the finance for a state project, such as the building of a hospital. The private sector firm then builds it and maintains it for a number of years. The government rents it and operates it, buying it back over time.

In other cases, the public and private sectors provide part of a service. For instance, private sector firms may run train operating companies, whilst the government builds and maintains the infrastructure.

The government as an employer

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The government employs workers and managers to operate its state-owned enterprises. Employing people helps a government to achieve some of its aims for the economy. To reduce unemployment, the government can employ more workers. To control rises in prices, the government can limit wage rises of its own workers and the prices charged by its enterprises. It can also set an example in terms of employment practice by, for instance, providing its workers with good quality training, preventing discrimination and ensuring good pensions to its workers.

The role of the government at an international level

Some governments promote free international trade, allowing firms to export and import what they want. Other governments place restrictions on what can be purchased from and sold to other countries.

Governments also vary in their policies towards foreign multinational companies (MNCs) wanting to set up in their countries. Some governments seek to attract them, believing they will generate jobs and increase the output that is produced in the country. Other governments stop foreign MNCs setting up in their countries as they think they will drive domestic firms out of business.

Some governments are also members of trade blocs such as the European Union (EU) and Mercosur (a Latin American trade bloc). Trade blocs promote trade between the member countries and may restrict trade with non-members. In addition, governments belong to international organizations. For instance, in 2016 there were 164 member countries of the World Trade Organization (WTO). The WTO deals with global rules of trade between member countries. Its main aim is to promote free international trade.

The budget

A government sets out the amount it plans to spend and raise in revenue in a budget statement. It shows the relationship between government revenue and government spending. A budget deficit is when the government's spending, also sometimes called public expenditure, is higher than its revenue. In this case, the government will have to borrow to finance some of its spending. In contrast, a budget surplus occurs when government revenue is greater than government spending. A balanced budget, which occurs less frequently, is when government spending and revenue are equal.

The reasons for government spending

Governments spend for four essential reasons. These are

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- To influence economic activity. A government may, for example, increase its spending in order to increase aggregate demand in the hope that the higher aggregate demand will stimulate higher output and so result in economic growth.
- To reduce market failure. Governments spend on public goods as this would not be financed by the private sector. They spend on merit goods as market forces would not allocate sufficient resources to their production. In addition, they spend money regulating markets where there is a difference between social and private costs and benefits and abuse of market power.
- To promote equity. Governments provide benefits and products to vulnerable groups and the unemployed. For example, some governments provide state pensions to the retired, subsidized housing for the poor and free education to children.
- To pay interest on national debt. If a government has borrowed in the past to finance a gap between its spending and its tax revenue, it will have to pay interest on the loans.

Government spending can be a powerful government measure. This is because of the multiplier effect whereby any initial increase in spending will eventually cause a greater increase in aggregate demand. For example, if a government raised its expenditure by \$20m, the final rise in the country's income, expenditure and output would be greater. This is because those who benefit from the \$20m extra expenditure, may themselves spend \$16m (saving \$4m). In turn those who receive the \$16m may spend \$13m and so on. If expenditure continues to rise at this rate, total spending, income and output will rise by \$100m. In this case, the final increase in expenditure is five times greater than the initial rise.

The reasons for levying taxation

Most people think that taxes are used to raise revenue for government expenditure. This is, indeed, a key aim of taxation and in a number of countries, tax revenue is the main source of government revenue. There are, however, other aims as well, including:

- To redistribute income from the rich to the poor. Higher income groups usually pay more in tax than the poor and some of the revenue raised is used to pay benefits to the poor.
- To discourage the consumption of demerit goods. These are products that the government considers more harmful to consumers than they realise, for example, cigarettes and alcohol.
- To raise the costs of firms that impose costs on others by, for example, causing pollution.

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- To discourage the consumption of imports and hence protect domestic industries. By placing tariffs on rival imported products, the country's inhabitants may buy less foreign and more domestic products.
- To influence economic activity. As with government spending, changes in taxation can be used to change aggregate demand. If an economy is experiencing rising unemployment, its government may cut taxes to stimulate an increase in consumption and investment.

The main categories of taxes

Taxes are either direct or indirect and progressive, proportional or regressive. Direct taxes are taxes levied on a person's or a firm's income or wealth. They are called direct taxes because the people or firms responsible for paying the tax have to bear the burden of the tax. Indirect taxes, which can also be called expenditure or outlay taxes, differ from direct taxes in two key ways. One is that they are levied on spending. The other is that the firms that actually make the tax payment to the government may pass on at least some of the burden of the tax, to other people. For example, most of the tax that governments impose on petrol is passed on by petrol companies to the customers in the form of higher prices.

A progressive tax is one which takes a higher percentage of the income or wealth of the rich. As taxable income or wealth rises, so does the rate of taxation. In the case of a proportional tax, the percentage paid in tax stays the same as income or wealth change. With a regressive tax, the percentage paid in tax falls as income or wealth rises. So in this case, people with higher incomes pay a smaller percentage of their income in tax than the poor do.

In the case of all three types of tax, the total amount of tax paid usually rises with income or wealth but what differs is the percentage paid (this is shown in Table 26.1). For example, a rich and a poor person pay the same excise duty per litre of petrol bought. The rich person is likely to buy more petrol and so will pay more tax in total. The amount paid, however, is likely to form a smaller percentage of his or her income, making this a regressive tax.

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Progressive tax		
Income (\$)	Tax paid (\$)	Tax rate (%)
100	10	10
500	100	20
1000	400	40
Proportional tax		
Income (\$)	Tax paid (\$)	Tax rate (%)
100	25	25
500	125	25
1000	250	25
Regressive tax		
Income (\$)	Tax paid (\$)	Tax rate (%)
100	40	40
500	150	30
1000	200	20

Table 26.1: Progressive, proportional and regressive taxes

The main types of taxes

The types of taxes imposed vary from country to country. There are some taxes, however, which are levied in most countries. Among the most common type of direct taxes are:

- **Income tax.** This is a tax on income that people receive from their employment and investment income. People are given a tax allowance, which is an amount of income they earn free of tax. Income above this level is referred to as taxable income.
- **Corporation tax.** This is also referred to as corporate tax and is a tax on the profits of firms.
- **Capital gains tax.** This is a tax on the profit made on assets when they are sold for a higher price than what they were bought for. A capital gain may be made, for example, by shareholders selling shares for more than what they paid for them. When a capital gains tax is imposed, exemptions are usually made. These normally include any money made on the sale of people's main residence.
- **Inheritance tax.** This is a tax on wealth above a certain amount which is passed on to other people, when a person dies.

Common types of indirect taxes are:

- A sales tax is a tax imposed when products are sold. The main examples of sales tax are GST (general sales tax) and VAT (value added tax).

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- Excise duties are taxes charged on certain domestically produced goods, most commonly on alcoholic drinks, petrol and tobacco. They are charged in addition to VAT.
- Customs duties are taxes on imports and are also called tariffs.
- A license may be needed to use a range of products including a television and a car.

Local taxes

Most taxes are levied on a national basis, but some are levied on a local basis. Local taxes are used to pay for local services such as education, fire services, libraries, roads and refuse collection. There are two main types of local taxes. One is based on the property of local firms and the other is based largely on the value of household property.

In a number of countries, business rates are levied on local firms. The government collects the revenue and then distributes it to local authorities on the basis of the number of people living in each area. Council tax is based on the value of people's housing and expenditure of each council. It is collected directly by the local authority. Some countries also use local sales tax.

The principles of taxation

Economists have identified a number of qualities that a good tax should possess. These include:

- Equity. This means fairness in the sense that the amount of tax people and firms have to pay, should be based on their ability to pay. A rich person has a greater ability to pay tax than a poor person.
- Certainty. A tax should be easy to understand, and households and firms should be able to calculate the amount of tax required to be paid by them.
- Convenience. A tax should be easy to pay.
- Economy. The cost of collecting a tax should be considerably less than the revenue it generates.
- Flexibility. It should be possible to change the tax if economic activity changes or government aims change. The revenue from some taxes changes automatically to off-set economic booms and slumps. For example, tax revenue rises from income tax and sales tax, without any change in the rates, when there is an economic boom. This is because more people will be employed, incomes will rise and people will spend more. Such a rise in tax revenue may slow down the rise in aggregate demand and prevent inflationary pressure building up.
- Efficiency. A tax should improve the performance of markets or at least not significantly reduce the efficiency of markets. For example, an extra one-off tax, sometimes called a windfall tax, imposed on high supernormal profits of banks may

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encourage banks to reduce the charges they impose on customers. A tax on pollution may result in a cleaner environment. Income tax rates should not be set so high that they discourage effort.

In practice, it is unlikely that a tax will have all of these qualities. For example, income tax can score high on equity and flexibility but not on certainty if a number of tax allowances are given.

The impact of direct taxes

There is a risk that direct taxes, if set too high, may discourage effort, enterprise and saving. High rates of income tax may stop some people from working overtime and taking promotion and prevent some people from entering the labour force. High rates of corporation tax may discourage entrepreneurs from expanding their firms and investing in new markets. On the other hand, high tax rates may encourage some people to work harder. This is particularly likely to be the case with workers who have fixed financial commitments, such as mortgages. In addition, a number of workers cannot alter the hours they work for as they are contracted for a fixed number of hours per week.

The impact of high taxes on income earned from saving is also important. As they reduce the return from saving, they may cause some people to save less but they may encourage target savers to save more. Direct taxes have the benefits of being able to redistribute income and wealth, act as automatic stabilizers and as a good source of tax revenue in countries with organized labour markets, high literacy rates and high incomes.

The impact of indirect taxes

Whilst direct taxes tend to be progressive, indirect taxes are regressive and therefore proportionately fall more heavily on the poor. Increasing indirect taxes will also raise prices. This increase may stimulate workers to press for wage increases and set off a trend of rising prices, that is inflation. Indirect taxes do, however, have a number of benefits. They are relatively easy and cheap to collect as firms do some of the work. It is believed that they act as less of a disincentive to effort and enterprise than direct taxes. They can be used selectively to achieve particular aims such as reducing the consumption of alcohol. They tend to be harder to evade than direct taxes and easier to adjust. To a certain extent, people also have more choice with indirect taxes. The amount of tax paid by them depends on what they buy. They may decide not to buy products which are highly taxed.

Indirect taxes are also a useful source of income, especially in countries where it is difficult to raise much from income tax because a significant number of workers work in

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the informal economy. Also in countries with low literacy rates, people might face problems while filling in the tax forms.

Changes in taxes

In recent decades, in a number of countries governments have become more reliant on indirect taxes and less on direct taxes. This move has been designed to reduce disincentive effects and tax evasion. Even more recently, some countries have been adopting what are called flat taxes. A pure flat rate tax system would involve income tax, corporation tax and VAT being set at the same rate with no exceptions. Several East European countries, for example, have replaced a number of income and corporate tax rates with one rate. In most of these countries, tax rates have been lowered as they have been flattened. For example, Ukraine has replaced a very progressive income tax system which had a top tax rate of 90% with one rate of 13%.

A number of advantages are claimed for flat taxes. They are simple to administer for governments and firms, there is less incentive to evade paying tax and more incentive for workers and entrepreneurs to earn and produce more. However, concerns have been expressed about the regressive nature of flat taxes although in practice, all existing flat taxes have set the uniform rate above a tax-free level of income.